

the month, you're playing checkers and being one-dimensional. People are loyal to brands and relationships, not corporations or businesses.

I love Coke and I hate Pepsi. I'm loyal to Coke, and I don't care if Pepsi suddenly becomes one buck cheaper—I'll always buy Coke. Coke has built a brand, and the power of that brand is a firm loyalty that is difficult to sever. Is Coke objectively better than Pepsi? I don't know or care.

When you think about the automobile Volvo, what do you think of? I think safety. How about Porsche? I think speed. How about Ferrari? I think rich. Volkswagen? Practical. Toyota? Reliability. Yet, when someone mentions Chevrolet, nothing clear comes to mind other than looming bankruptcy, union squabbles, and unpredictable reliability. Some auto manufacturers have carved out strong brands, while the others fortify a business.

Our friend with the carpet-cleaning business also has a business and not a brand. Brands don't have identity crises, businesses do. If our friend wants to excel in an industry saturated with me-toos, he's going to have to brand himself and differentiate himself. He needs to be a Lamborghini in a traffic jam of Chevys. What will make his carpet cleaning business different from the rest? Why should people hire him even though his prices might be 20% higher?

These tough questions have tough answers, especially since his entry into the industry was based on a faulty premise. However, upon further investigation, most of his unscrupulous competitors use bait-and-switch advertising tactics gummed down with fine print. Perhaps this industry weakness is exploitable? My challenge to him was to leverage that nuisance. Perhaps he can brand himself as a "no-nonsense" carpet cleaner—fixed prices, no surcharges, and no fine print.

Apple, the computer maker, is a great example of building a brand based on a need, or a nuisance. People hate viruses, spyware, and the constant "Your updates are ready" messages that are associated with PC computers. Apple exploited PC's weaknesses and solved their problems. It has built itself into one of the most successful brands in history. Apple isn't the cheapest because they've engineered a brand and they can demand a higher price. Say "Apple," and many images come to mind: creative, trendy, easy, and hip. When I think of PC, I think of blue screens, illegal operations, and "you must reboot your computer 17 times before this update takes effect." One is a business. The other is a brand.

GET UNIQUE: THE USP

The first step at building a brand is to have a Unique Selling Proposition or a USP. As a business without one, you're adrift in a sea of me-too businesses without a rudder, unmoored to the tradewinds of the marketplace. USP-less businesses offer nothing distinct, nothing unique, no benefit, no logical reason that someone should buy from them other than hope or circumstance wrapped around a cheap price. Your USP is the anchor to your brand. What makes your company different from